

guess is many traders would have lost money, perhaps a lot of it if they rode the stock down.

What went wrong? Is this another case of overhead resistance? No. This is a case where the fundamentals take center stage. See that large gap on the left of the chart? Ten days before the gap, a brokerage downgraded the stock. The stock dropped, sure, but it hardly noticed the downgrade.

On November 29, when the market was closed, the company announced that it would not meet its previous sales projections. When the stock opened the following day, price gapped lower (an exhaustion gap), closing 36% below the prior close. In short, the stock dead-cat bounced; the bounce phase was the rounding turn before the double bottom (point B).

A brokerage firm rated the stock “outperform” on the day it gapped lower. Such positive statements after a large down gap help drive the price higher in the bounce phase. However, the dire situation eventually catches the hype and the stock sinks ... sometimes dramatically, like that shown here.

Thus, even though we had a valid Eve & Eve double bottom, the fundamentals were screaming *sell*. I do not recommend taking a position in a stock showing a dead-cat bounce for at least 6 months, sometimes even up to a year. Many chart patterns during that time look promising but fail to perform as expected. This is one example.